

ECONOMY — Banking, Monetary Policy & Financial System

Batch 5/10 · Parmar Ch.6-8 (full) + Lucent \$9+\$11 (full) + PYQ bucket "03 Money and Banking" (30 Qs) · ★=PYQ-tested · [B]=PYQ-book-only

1 RBI — Establishment & Governance

- RBI ← Royal Commission on Indian Currency & Finance (chair: Hilton Young, 1926) → RBI Act 1934 → ops 1 Apr 1935, Calcutta → nationalised 1 Jan 1949 → HQ→Mumbai 1937
- First Governor: Sir Osborne Smith | First Indian Governor: Sir C.D. Deshmukh | Emblem: tiger+palm tree
- RBI (Lucent, merged): capital ₹5 crore at founding; nationalised per Parliamentary Committee (1948); FY 1 July-30 June (as printed)
- Central Board of Directors → apex body, RBI Act 1934, GOI-appointed 4-yr terms → Governor(Chair)+4 full-time Dy.Governors+10 non-official directors+2 Finance Ministry officials+4 Local Board directors
- Banking Ombudsman scheme ★ → introduced by RBI, 1995 ★ [B: Section 35A, Banking Regulation Act 1949, for expeditious/inexpensive complaint resolution ★]
- Fixed Rate Repo → announced by Govt, 1997
- Lead Bank Scheme → launched Dec 1969 → 1 bank/district → "Area Approach" for rural credit/financial inclusion/PSL

HOOK RBI Functions: (1) Regulator of Banks (Banking Regulation Act 1949, "Bank of Banks" — licensing, CRR/SLR, repo rate); (2) Monetary Authority (inflation/money-supply/credit control); (3) Currency Printing (except ₹1 note/coins, by Min. of Finance) — printed at Nasik/Dewas/Mysore/Salboni, coins minted Mumbai/Hyderabad/Calcutta/Noida; (4) "Lender of Last Resort".

Bimal Jalan Committee (2018-19) → Economic Capital Framework (ECF) → surplus reserves→govt, Contingency Risk Buffer (CRB) 5.5-6.5% of RBI balance sheet.

HOOK RBI Governors' chronology ★ [B]: Dr. Y.V. Reddy (2003-08) → Dr. D. Subbarao (2008-13) → Dr. Urjit R. Patel (2016-18) → Shri Sanjay Malhotra (2024-present) ★ [exact chronological-order matching question].

2 Narasimham Committees & Post-1991 Banking Reform

Committee	Focus → Recommendations
Narasimham-I (1991) ★	Banking reform/liberalisation → ↓ SLR/CRR; prudential norms (income recognition/asset classification/provisioning); capital adequacy norms (Basel-aligned); bank autonomy; competitive banking; entry of private banks [B ★: also encouraged foreign banks to EXPAND in India ★ — tech/mgmt practices, NOT restrict, tested distractor]
Narasimham-II (1998) ★	Strengthening/global competitiveness → ↓ NPAs; strengthen supervision; merger/consolidation of PSBs ★ (→3-4 globally competitive banks); ARCs for NPAs; ↓ govt shareholding to 33% ★; 3-tier banking structure [B: NOT "reduce lending"/"privatize all"/"↑ govt ownership" — tested distractors ★]

Post-1991 reform objective [B] ★: prudential norms+CRAR → transparency, asset quality, global-standard competitiveness.

HOOK Board for Financial Supervision (BFS) ★ [B, PYQ-book-only] → established within RBI, **1994**, post-1991 reforms → supervises banks/FIs/NBFCs for financial stability (NOT NABARD/SAT/MSME Credit Bureau — tested distractors ★).

3 Banking History, Nationalisation & RRBs

- Bank of Hindustan → first bank, 1770, Calcutta
- Presidency Banks: Calcutta(1806)+Bombay(1840)+Madras(1843) → merged → Imperial Bank of India 1921 → nationalised → SBI 1955
- First Indian-owned bank → Allahabad Bank, 1865

HOOK Bank nationalisation ★ → 14 banks, **19 July 1969** ★ (deposits > ₹50cr) [B: objective = extend rural banking, agri/small-industry credit, reduce private monopoly ★] → 6 more banks, 1980 Act (deposits > ₹200cr): Andhra Bank/Corporation Bank/New Bank of India/Oriental Bank of Commerce/Punjab&Sind Bank/Vijaya Bank.

Banking classification per RBI Act 1934 → Scheduled Banks (Commercial→Profit→Public Sector["12 Nationalised Banks" as printed]/Private Sector[Indian eg HDFC,Kotak; Foreign eg Citigroup,HSBC]) + Non-Scheduled (Cooperative→Non-Profit, "depositors are owners").

RRB Act 1976 → ownership: Centre 50%, sponsor bank 35%, State 15% → supervised by NABARD, regulated by RBI. First RRB → Pratham Grameen Bank, 2 Oct 1975, Moradabad UP. RRBs set up per Narasimham Committee on Rural Credit; consolidation began 2005 per Dr. Vyas Committee (2001). Kelkar Committee (1986) → strengthen RRBs: authorised capital→₹5cr, paid-up→₹1cr, merge weak RRBs.

Commercial Bank functions: Primary = deposits(savings/current/fixed)+loans(cash credit/overdraft/bill discounting) | Secondary = agency services(chèque collection/bill payment)+utility services(lockers/DDs/forex/cards/online banking).

4 Other Financial Institutions — Establishment Reference

Institution	Established / HQ / Role
NABARD	12 July 1982, B.Sivaraman Committee(1979), NABARD Act 1981; HQ Mumbai; agri/rural finance, regulates coop banks+RRBs, no direct public dealing; PMAY/KCC/RuPay Kisan Cards; 2015: E-Shakti+LEDP initiatives
National Housing Bank	1988, Act of 1987; HQ New Delhi
SIDBI	2 Apr 1990; HQ Lucknow
SEBI	Statutory body 12 Apr 1988, SEBI Act 1992; HQ Mumbai; Chairman Tuhin Kanta Pandey; safeguards investor interests
IRDAI	Statutory body Apr 2000, IRDAI Act 1999; HQ Hyderabad
NAFED	2 Oct 1958; apex agri-marketing coop body; HQ New Delhi
IDBI	1964, GOI subsidiary of RBI; LIC later took 51% stake; HQ Mumbai

5 Microfinance & NBFCs

- MFI → micro-credit+savings/insurance/remittances to low-income population; collateral-free loans ≤ ₹3 lakh/annum household income
- Father of Microfinance → Muhammad Yunus (2006 Nobel Peace Prize, Grameen Bank) | First MFI in India → SEWA Bank, Ahmedabad, 1974
- SHG → 10-20 BPL people; collateral-free loans, lower interest than informal sector; empowers women/marginalised
- JLG → 4-10 people; collateral-free loans; individuals/tenant farmers/sharecroppers/small-marginal farmers
- PMMY loan categories: Shishu(≤ ₹50,000), Kishor(₹50,000-5lakh), Tarun(₹5-10lakh), Tarun Plus(₹10-20lakh)
- NBFC → aka NBFI; no banking licence; Companies Act 1956, regulated by RBI(RBI Act 1934); can't accept demand deposits/issue cheques; Gold Loans; deposits NOT govt-guaranteed; exempt from CRR/SLR
- NBFC-MFI → registered+regulated by RBI; micro loans to low-income rural individuals; per Malegam Committee(2010)
- Microfinance-loan asset caps: non-NBFC-MFI entities ≤ 25% of total assets; NBFC-MFI needs ≥ 75% of assets as microfinance loans (was 85%, revised 2022)
- NBFC-MFI min Net Owned Fund (NOF): ₹5cr general, ₹2cr North-East
- Payment & Settlement Systems Act 2007 → governs UPI/NEFT/RTGS/Credit Cards, RBI-regulated

HOOK PSL: Commercial Banks(domestic+foreign)=**40% of ANBC**; RRBs/SFBs=**75%**; NBFCs=no fixed target; sub-targets Agriculture=18%, Weaker Sections(SC/ST/Women)=12%; shortfall→RIDF (managed by NABARD). **SLR** ★ [B] = mandatory liquid-asset(gold/G-Sec) requirement ★ — the tested answer, not CRR/current-ratio/margin-ratio.

UCBs → regulated by both RBI + Registrar of Cooperative Societies (RCS). MUDRA (Micro Units Development & Refinance Agency Ltd) → launched 8 April 2015, 100% funded by SIDBI.

6 Monetary Policy — Balance Sheet, Reserves & MPC

- Bank Balance Sheet: Liabilities=Deposits(Demand[savings/current]+Time/Term[FDs/RDs]) | Assets=Loans granted
- NDTL = total deposits determining lendable funds+reserve requirements → Demand Liabilities(withdraw anytime) + Time Liabilities(fixed tenure)

CRR	SLR ★
Cash with RBI, no interest	Liquid assets (cash/gold/securities) held by the bank, interest earned

MPC ← Urjit Patel Committee recommendations → 6 members (3 RBI: Governor+Dy.Governor+Executive, Governor=Chair; 3 GoI) → meets bimonthly. [B ★: Keynesian theory alt-name = **Liquidity Preference Theory** ★ — not Cambridge/Cash-Balance/Classical.]

7 Monetary Policy Tools — Quantitative & Qualitative

- Quantitative:** CRR, SLR, Bank Rate (long-term loan to banks, NO collateral), OMO (=sterilization: Outright Purchase[no repurchase agreement] + Repo["Rere"=Repurchase Obligation, banks borrow w/ G-Secs collateral] + Reverse Repo[RBI borrows from banks])
- Repo + SDF (Special Depository Facility, no-collateral bank deposit w/ RBI) together = **LAF** (Liquidity Adjustment Facility)
- MSF → emergency overnight bank borrowing from RBI, above repo rate; CRR/SLR-default penalty=3% above Bank Rate/day; uses G-Secs within SLR quota; only scheduled commercial banks
- Base Rate → minimum rate below which banks can't lend
- Interbank Lending Market/Call Money Rate → decided on RRR+MSF basis; short-term overnight interbank loans; limit=2% of NDTL
- MCLR → introduced by RBI, April 2016; transparent/policy-responsive minimum lending rate

TRAP Money Multiplier(MM) = $1/CRR$ ★; NBFCs/NBFC-MFIs exempt from CRR/SLR; ↑CRR→↓MM (and vice versa) [B ★: inverse CRR-multiplier relationship ★; cash held by public = "leakage" reducing multiplier ★].

Situation	RBI Action	Effect	Stance
Inflation	↑CRR/SLR/BR/RRR/RR	↓ money supply	Contractionary/Tight/Dear/Hawkish
Deflation	↓CRR/SLR/BR/RRR/RR	↑ money supply	Expansionary/Easy/Dovish ★ [B: cuts rates to stimulate growth in a slowdown ★]

- Qualitative:** (1) Changing Margin Requirements(↑ for non-essential, ↓ for agri); (2) Consumer Credit Regulation(loan instalment/down-payment/repayment rules); (3) Moral Suasion(persuasion/implicit threats); (4) Credit Rationing(limits loans per bank/sector)

Fiscal Policy anti-inflation steps: ↑ Taxes(↓ disposable income), ↓ Subsidies(↑ prices, discourage consumption), ↓ MSP(discourage overproduction, control food prices). Monetary Policy=RBI's tool; Fiscal Policy=Govt's tool.

HOOK Debt Monetisation ★ [B] = RBI directly buys govt bonds to fund fiscal deficit, prints currency → ↑ money supply → often high inflation ★ (not ↑ interest rates/↓ money supply/foreign borrowing — tested distractors). A-R ★ [B]: Financial intermediaries essential in transmitting monetary policy (TRUE) — because they adjust lending/deposit rates per MPC's policy rate (TRUE, correct explanation) ★. A-R ★ [B]: "CRR/SLR increase lending capacity" = FALSE (they actually REDUCE it — reserve requirements reduce banks' surplus lendable funds, Reason correct) ★.

8 Financial Inclusion Index, Disinvestment & PSU Categories

HOOK FI-Index(RBI) parameters ★ [B]: **Access, Usage, Quality** ★ — Access+Usage both correct in a tested "which is a parameter" question. RBI publishes ★ [B]: **Financial Stability Report**(FSR, biannual, banking-system risk) + **Database on Indian Economy**(DBIE, macro data) — BOTH correct ★. **Disinvestment** ★ [B] = govt selling its own PSU shares (LIC/BPCL/Air India) → raises resources, brings private efficiency+tech ★ (NOT purchasing shares/allowing FDI — tested distractors). CPSE match ★ [B]: Maharatna=SAIL; Navratna=MTNL; Miniratna(Cat-I)=IRCTC ★.

9 Liquidity, Money Functions & Theories

- Liquidity order: Cash>Gold>Cheque>Bond; Demand Deposit>Term Deposit
- Barter limitations: Double Coincidence of Wants, Lack of Divisibility, Lack of Store of Value [B ★: money eliminates double-coincidence problem via "measure of value"+"medium of exchange" ★ — barter itself DECREASES efficiency, not increases, tested A-R]
- Money functions: Primary=Medium of Exchange; Secondary=Medium of Value/Unit of Account→(a)Standard of Deferred Payment,(b)Store of Value(no intrinsic value, paper value from govt backing),(c)Portable/Durable

HOOK **Liquidity Preference Theory** = Keynes's money-demand theory — rates determined by money D/S not just savings/investment. **Cambridge Cash Balance Approach** ← Marshall, Pigou, Keynes → value of money ← demand to hold cash balances (not transaction velocity) [B ★: Cambridge approach's alt-name = "Cash Balance Approach" ★ vs Fisher's = velocity-of-transactions approach ★].

3 reasons to hold money: Transaction Motive(daily spending), Precautionary Motive(emergencies), Speculative Motive(by J.M.Keynes, investment timing). Paradox of Thrift(Keynesian) → individual ↑ savings in downturn → collectively ↓ aggregate demand+total savings economy-wide.

Speculative Demand for Money $\propto 1/\text{Interest Rate}$ → rates ↑ → bonds preferred → speculative demand ↓; rates ↓ → more cash held → speculative demand ↑; "interest = opportunity cost of holding money". Liquidity Trap → rates low, people hold cash not invest → monetary policy ineffective; horizontal LP-curve portion = infinitely/perfectly elastic money demand.

10 Money Aggregates, Interbank Rates & Markets

- Types of Money in economy: (1)Currency in Circulation[Banks+Public]; CDR=Currency held by public/Deposits held by public; (2)Deposits with Banks[Demand+Term]; (3)Deposits with RBI[Bank Deposits(CRR)+Other Deposits(govt/foreign central banks/int'l orgs/private)]; (4)Postal Deposits(via POSB)

Aggregate	Components	Alt. name ★
M0	Currency in circulation + Banker's deposits w/ RBI	High-Powered/Base/Reserve Money — total money printed by RBI
M1 ★	Currency w/ public + other RBI deposits + Demand Deposits	Narrow Money
M2	M1 + PO savings deposits	—
M3 ★	M1 + Net time deposits of comm. banks	Broad Money /Aggregate Monetary Resource
M4	M3 + Total PO deposits	—

TRAP "Does NOT refer to reserve money" ★ [B] = "**Savings Money**" ★ (M0 aliases: Central Bank/Base/High-Powered Money — all valid; Savings Money is NOT).

Interbank Offer Rate("Offer Rate") → rate banks lend each other for short-term needs (eg CRR fulfilment). LIBOR → global base rate, discontinued after 31 Dec 2021 → replaced by SOFR(USD). MIBOR → India's LIBOR-equivalent, replaced by FBIL-Overnight MIBOR in 2015. Asia's oldest stock exchange → BSE, 1875.

Money Market(short-term,<1yr): Call Money(repay in 1 day), Notice Money(2-14 days). Capital Market(long-term,>1yr): stocks/bonds. Treasury Bills → issued by GOI through RBI; aka Zero Coupon Securities; 3 tenures(91/182/364 days); money-market instrument(<1yr maturity); issued at discount, no interest paid.

11 NPA Classification, Bad Banks & Banking Regulation Laws

- Assets: Regular(consistent returns, on-time) → Stressed(overdue<90days) → NPA(overdue>90days)→Substandard(>90d,<12mo), Doubtful(>12mo), Loss(uncollectible)
- Wilful Defaulter → capacity to repay but deliberately doesn't
- Bad Bank → specialises in NPAs, buys+recovers value; 2021 Budget: NARCL + IDRCL
- SARFAESI Act 2002 → Securitisation and Reconstruction of Financial Assets and Enforcement of Securities Interest Act; lets banks seize defaulters' property
- IBC 2016 → resolves Twin Balance Sheet Problem(stressed banks+corporates) via CIRP; moratorium("calm period")=180 days(extendable to 270); NCLT(initial)→NCLAT(appeals)

12 Basel Norms

Accord	Year	Key point
Basel-I	1988 (India adopted 1999)	Focus: credit risk; min. capital = 8% of RWA
Basel-II	2004	$CAR/CRAR = (Tier1+Tier2 \text{ Capital})/RWA \times 100$
Basel-III	2010	$CAR = 10.5\%$ (Tier1/Core 6%+Tier2/Supplementary 2%+Capital Conservation Buffer 2.5%); India's RBI-mandated CAR = 11.5%

Basel Norms/Accords ← Central Bank Governors, G-10 countries, 1974 → HQ = BIS (Bank for International Settlements, printed "Bureau of...", Basel, Switzerland; issued by BCBS.

13 Indian Financial System — Structure & Markets

- Indian Financial System: demand side(individuals/businesses/govt)↔supply side(banks/insurers/MFs/FIs); channels via saving-investment/capital formation
- 2 parts: money market(short-term)+capital market(medium/long-term)
- Classification: Industrial/Agricultural/Development/Government finance
- Devaluation → ↓ local currency's official value vs foreign currency/gold
- BoP → record of all economic transactions, country↔rest of world; current+capital account
- BoT → exports–imports value (goods only, services excluded)
- EXIM Policy 2000-01 → introduced SEZ Scheme; 1994-95 → Rupee fully convertible on current account
- Money market: organised(RBI apex+PSB/Pvt/Foreign banks+FIs) + unorganised(indigenous bankers+NBFCs)
- Indian Capital Market: Govt Securities(Gilt-edged)+Industrial Securities Market+Development FIs(IFCI/IDBI/ICICI/SFCs/IIBI/UTI)+Financial Intermediaries(Merchant banks)

World Index	Exchange/Country
Bovespa	Brazil
Dow Jones	New York
FTSE-100	London
HANG SENG	Hong Kong
I.P.C.	Mexico
Jakarta Composite	Indonesia
KLSE Composite	Malaysia
KOSPI	Korea
MIBTel	Italy
MID DAX	Frankfurt
NASDAQ	U.S.A.
Nikkei	Tokyo
S&P	Canada
Seoul Composite	S. Korea
SHANGHAI Com	China

SET	Thailand
Straits Times	Singapore (SGX/SIMEX)
TAIEN	Taiwan

UTI = India's biggest Mutual Fund Institution. BSE = first organised exchange (formed by 'Native Share Brokers' Association', 1875) = Asia's oldest. Ahmedabad Stock Exchange 1894(textile mills); Calcutta Stock Exchange 1908(plantation/jute). Exchange count: 7(1939)→21(1945); Securities Contracts(Regulation)Act 1956 → 23 exchanges recognised. BSE became a corporate entity mid-Aug 2005 (from brokers' association); SEBI rolling settlements from 2 July 2001; brokers-stake dilution to 49% obligation.

BSE SENSEX: 30 shares, base yr 1978-79. BSE 200: base 1989-90. DOLLEX: 200-share \$ index, base 1989-90. NSE-50→S&P CNX Nifty(28 Jul 1998); replaced NSE-100(Apr 1996); Ferwani Committee(1994) founded NSE. CRISIL(1988). CRISIL 500(18 Jan 1996). NEAT=NSE online trading software.

Credit Rating Agencies(13 July 2023): CRISIL(HQ Mumbai, largest, >60% market share per SEBI), ICRA(HQ Delhi), CARE(HQ Mumbai), ACUITE(HQ Mumbai), BRICKWORK(HQ Bangalore), INFOMERICS(HQ Delhi), India Ratings(ex-FITCH, HQ Mumbai), SMERA(HQ Mumbai), S&P/Moody's/Fitch(HQ NY).

DOUBT Regulators table (as on 29.05.2025, time-sensitive): RBI(Sanjay Malhotra), SEBI(Tuhin Kanta Pandey), IRDAI(Debashish Panda), PFRDA(Sivasubramanian Ramann), NABARD(Shaji KV), SIDBI(Manoj Mittal), TRAI(Anil Kumar Lahoti), CBFC(Prasoon Joshi), FSSAI(Punya Salila Srivastava), BIS(Pralhad Joshi), BCCI(Roger Binny), AMFI(Navneet Munot), FIEO(S.C.Ralhan), NASSCOM(Sindhu Gangadharan), CDSCO(Rajeev Singh Raghuvanshi), IBBI(Ravi Mital) — verify current incumbents before relying.

India's world-index rankings (as on 25.05.2025, time-sensitive): Edelman Trust Barometer2025(India 3rd); CPI2024(96/180); Gender Gap2024(129/146); GHI2024(105/127); HDI2023-24(134/193); World Press Freedom2025(151/180); GPI2024(116/163); GII2024(39/133); WHR2025(118/147).

HCES 2023-24(75th NSS round): Rural MPCE ₹4,122(+9.3%); Urban MPCE ₹6,996(+8.3%); gap narrowed to 69.7%(from 71.2%/83.9%-2011-12); Rural 47.04% food-spend, Urban 39.68%; highest MPCE Sikkim, lowest Chhattisgarh; Odisha=highest rural-MPCE growth, Punjab=urban.

14 Public/Private Sector Banks & Banking Ecosystem

First bank of limited liability managed by Indians → **Oudh Commercial Bank, founded 1881**; subsequently → **Punjab National Bank established 1894**. Swadeshi movement(1906) spurred commercial bank formation. Banking Companies Act(Feb 1949)→amended→Banking Regulation Act 1949.

Monetary Policy Transmission → RBI cut the repo rate by **250 bps since Feb 2019** (the current easing cycle, as printed); transmission weak on credit quantity but improved on rate/term structure.

DOUBT Total scheduled-commercial-bank count conflict: 137 (BHARAT 2025, p.275 — PSB12/Pvt21/SFB11/PaymentsBanks6/RRB43/Foreign44) vs 136 (RBI's own pink box, p.276, same components +2 Local Area Banks) — both preserved verbatim.

- 4 bank categories: Commercial(incl PSB/Pvt/RRB/Foreign), Small Finance Banks, Payments Banks, Co-operative(Urban+Rural)
- PSBs: majority(>50%) govt stake; Apr2019: Vijaya+Dena merged into Bank of Baroda; 30Aug2019: FM announced 6 PSB→4 anchor-bank mergers, reduced PSB count 27→12

MUDRA Bank: statutory enactment, runs PMMY(8 Apr 2015); Shishu(≤₹50,000)/Kishor(₹50,000-5lakh)/Tarun(≤₹10lakh); proposed Budget 2015-16, ₹20,000cr corpus+₹3,000cr credit guarantee fund; by Aug2023: 43.09cr+ loans worth ₹24.99 lakh cr, 68% to women, 51% to SC/ST/OBC.

PSB (12, as on 31 Mar 2025)	Estd.	Merged Bank(s)	HQ
Bank of Baroda	1908	Dena, Vijaya	Vadodara
Bank of India	1906	—	Mumbai
Bank of Maharashtra	1935	—	Pune
Canara Bank	1906	Syndicate	Bengaluru
Central Bank of India	1911	—	Mumbai
Indian Bank	1907	Allahabad Bank	Chennai
Indian Overseas Bank	1937	—	Chennai

Punjab & Sind Bank	1908	—	New Delhi
Punjab National Bank	1894	OBC, United Bank	New Delhi
State Bank of India	1955	8 associate banks	Mumbai
UCO Bank	1943	—	Kolkata
Union Bank of India	1919	Andhra, Corporation	Mumbai

Scheduled Private Banks (22, 31.03.2025) — key entries: Axis(1993, ex-UTI Bank renamed 2007), HDFC(1994), ICICI(1994), IndusInd(1994), Kotak Mahindra(2003), Yes Bank(2004), IDBI Bank(1964), Federal Bank(1931), South Indian Bank(1929), Karnataka Bank(1924), J&K Bank(1938), Bandhan Bank(2015), IDFC First(2015), Lakshmi Vilas Bank(1926, merged into DBS India 27Nov2020), Nainital Bank(1922, BoB holds 98.57%).

State Bank of Sikkim = state-govt-owned bank; RRBs=43; Foreign Banks=44(31Mar2025). PSBs account for >92% of India's banking business. Oudh Commercial Bank = first complete commercial bank of India; Imperial Bank(1921, 3 Presidency Banks merger)→nationalised 1955 per Gorewala Committee→SBI; 1959: 7 regional banks became SBI Associate Banks.

Nationalisation counts: 19Jul1969=14 banks($\geq$ ₹50cr deposits); 15Apr1980=6 more→total 27(19+SBI+7 associates); pre-1993(New Bank of India→PNB merger)=28; post-2008(Saurashtra)/2010(Indore) mergers→5 associates; all 5 associates+Bhartiya Mahila Bank merged into SBI w.e.f. 1 Apr 2017→0 associates.

Reforms: JAM linkage, Bank Mitras, UPI/DBT; EASE(Enhanced Access & Service Excellence) Reforms for PSBs; Prevention of Corruption Act 1988 amendments(protect bona-fide banking decisions); Banking Regulation(Amendment)Act 2020(co-op bank regulation). Digital Banking Units(DBUs): announced Budget 2022-23; 75 DBUs in 75 districts, dedicated by PM 16 Oct 2022(Azadi Ka Amrit Mahotsav).

UPI growth: 92cr(FY17-18)→13,116cr(FY23-24) transactions, CAGR129%; live in UAE/Bhutan/Nepal/Singapore/Mauritius/France/SriLanka; RuPay live in Nepal/Bhutan/Singapore/Mauritius/UAE.

Scheduled banks → 2nd Schedule of RBI Act 1934; paid-up capital+reserves $\geq$ ₹5 lakh; all commercial(Indian/foreign)+RRBs+state coop banks=scheduled; only 1 non-scheduled bank currently.

RRBs: first estd 2 Oct 1975; RRB Act 1976; ownership GOI50%/State15%/sponsor bank35%; targets small/marginal farmers/agri labourers/rural artisans; 43 RRBs(DoFS); Economic Survey2024-25: 22,069 branches/700 districts/26 states+3UTs.

Co-op Banks: state Co-op Credit Societies laws; mainly agri/rural benefit; first estd 1904; agri(dominant)+non-agri kinds; structure=State Coop Bank(apex)→Central Coop Banks(district)→PACS(village); long-term via Land Development Banks; 1991: Narasimham Committee on banking reconstruction.

15 Development Banks & International Financial Institutions

Bank	Detail
IDBI	1964, large/medium industry finance
IFCI	1948, project finance+promotional services
ICICI	1955, term loans+underwriting
SIDBI	1989 (this section) — DOUBT: vs 1990 elsewhere in source; small-scale industry finance
EXIM Bank	1982, GOI-owned trade finance; authorised capital ₹20,000cr; net worth ₹22,299cr (31.12.2023)
NHB	1988, housing finance development
NABARD	1982, initial capital ₹100cr; paid-up ₹17,080cr vs authorised ₹30,000cr (31Mar2024)

- **NDB** (New Development Bank): instituted 2015; BRICS founding members; USD1bn initial capital
- **AIIB**: set up 2016; India=founding member+2nd-largest shareholder; India+20 countries signed founding MoU, Beijing
- **IFAD**: set up 1977, 13th specialised UN agency; fights rural poverty/hunger; 176 members(Lists A-Developed/B-OilProducing/C-Developing); India in List-C, founder member, contributed US\$147.0mn
- **IMF**: India founder member; 188 member nations; Board of Governors(1 Governor+1 Alt.Governor/country); India's FM=ex-officio Governor, RBI Governor=Alt.Governor; India's constituency also incl Bangladesh/Bhutan/SriLanka

- **World Bank:** India founder member of IBRD(189 members), w/ IDA(173 members)="World Bank"; IBRD serves middle-income/creditworthy-low-income; IDA serves poorest via "credits"/grants
- **ADB:** established 1966; India founding member; 68 members(49 regional+19 non-regional); HQ Manila; India held 6.32% shares(6,72,030 shares),5.35% voting rights(31Dec2021); India borrowing since 1986

16 Insurance Sector & Postal Financial Services

- Public insurers: LIC, National Insurance Co, Oriental Insurance Co, United India Insurance Co, New India Assurance Co, GIC, Agriculture Insurance Co of India, ECGC; growth ~11% CAGR/5yrs; total premium ~₹10 lakh cr(FY22-23); AUM ~₹60 lakh cr(Mar2023)
- Insurance = spreading loss of few over many; Life+General sectors; British-introduced; Oriental Life Insurance Co, Calcutta, 1818
- LIC established Sept1956; GIC established Nov1972

HOOK Committee on Insurance Sector Reforms ★, reinforced: constituted **1993**, chairman **R.N. Malhotra** (former RBI Governor), report **1994** ★ → recommendations → IRDA Act 1999 → sector opened to private cos 2000 ★. IRDA HQ Hyderabad.

LIC(per INDIA 2023): Central Office Mumbai, 8 Zonal Offices, 113 Divisional Offices, 73 Customer Zones, 2,048 Branch Offices, 1,401 Satellite Offices, 1,240 mini offices(21Sept2022); international ops in 14 countries — Branch Offices Fiji/Mauritius/UK, JVs Bahrain/Nepal/SriLanka/Kenya/SaudiArabia; LIC(Singapore) subsidiary(Apr2012).

Post Office financial services: Small Savings Schemes for Min.of Finance; POSB via 1.57 lakh post offices; Savings/RD/TD/MIS/PPF/NSC/KVP/SCSS/Sukanya Samriddhi accounts. PMSBY+PMJJBY launched 2015 in all CBS post offices; APY also launched 2015; Sukanya Samriddhi launched 2015.

PLI(Postal Life Insurance): introduced 1 Feb 1884(postal employees), extended to telegraph employees 1888; >49 lakh policyholders by Mar2023, sum assured ₹2.56 lakh cr; premium income FY22-23=₹10,253.26cr. RPLI: started 1995; >55 lakh policyholders by Mar2023, sum assured ₹1.73 lakh cr; premium income FY22-23=₹3,992.72cr.

17 Banking Terminology Glossary & Payment Systems

Term	Meaning
Bank Rate	Rate at which central bank finances commercial banks; short-term tool; upward revision signals ↑ deposit/base rates too
Basis Points	1 percentage point = 100 bps
LRR	= CRR + SLR
Repo Rate ★	Rate at which comm. banks borrow from RBI ★; ↓repo→cheaper borrowing; ↑repo→costlier, controls inflation ★ [B: major monetary-policy instrument ★]
Reverse Repo Rate	Rate at which RBI borrows from banks; "always 1% less than Repo" (as printed)
NEFT	Began ops 21Nov2005(1 settlement/day, 8 banks)→216 banks, half-hourly batches; ~10.5mn transactions/day, ~₹80,000cr avg value; charges waived from 1Jul2019; 24×7 from 16Dec2019
RTGS	Min ₹2 lakh, no upper limit
LAF	Repo+Reverse Repo operations, day-to-day liquidity management
MSF	"Always 1% more than Repo" (as printed)
NOSTRO/VOSTRO	An Indian bank's account abroad / a foreign bank's account in India
CRAR	Capital / aggregated risk-weighted assets
SDR	Created by the IMF, 1967
NPA	90-day default rule

DOUBT "Fifth Monetary Policy of FY23-24" rate table (8 Dec 2023, time-sensitive): Repo 6.50%, SDF 6.25%, MSF 6.75%, Bank Rate 6.75%, Reverse Repo 3.35%, CRR 4.50%, SLR 18.0% — this table's own Reverse Repo/MSF values (3.15-point and 0.25-point gaps from Repo) directly contradict the glossary's "always ±1%" claims above; both preserved verbatim, not reconciled.

SPMCIL: only PSU under Dept of Economic Affairs; formed from 9 units(4 mints+4 presses+1 paper mill); incorporated 2006(Companies Act1956); 2010: 50:50 JV w/ BRBNMPL → Bank Note Paper Mill India Pvt Ltd(BNPMIPL), capacity 12,000MT/yr. Demonetisation: ₹500&₹1,000 notes demonetised 8Nov2016; ceased legal tender 9Nov2016; new ₹500&₹2,000 Mahatma Gandhi New Series issued; ₹100/50/20/10/5 unaffected.

18 PYQ-Only Institutional Facts

HOOK [B, PYQ-book-only, not in Parmar/Lucent]: **BCSBI** (Banking Codes & Standards Board of India) → set up **18 Feb 2006** by RBI ★, independent body ensuring transparency/fairness ★; "Code of Bank's Commitment to Customers" → released **July 2006** ★ (voluntary min-standards document). **BRBNMPL** → established **3 Feb 1995** ★, wholly RBI-owned subsidiary; manages 2 currency presses — Mysore(Karnataka)+Salboni(West Bengal) ★. **CCIL** → established **30 April 2001** ★, RBI initiative; safe clearing/settlement for money/G-Sec/forex markets. **India Post Payments Bank (IPPB)** → uses QR-card technology for cashless withdrawal (scan+biometric/OTP) ★.

Modern currency systems ★ [B] = fiat money, no intrinsic value, not backed by gold/silver, regulated by govt order+public trust ★.

Appendix

A.1 — PYQ citation index (bucket "03 Money and Banking", 30 Qs)

Fact tested	Exam · Date · Shift
Modern currency = fiat money	SSC CGL Tier-I, 25/09/2025 (Sh-03)
Reserve Money NOT = "Savings Money"	SSC Phase XIII, 29/07/2025 (Sh-03)
Cambridge approach = Cash Balance Approach	SSC Phase XIII, 31/07/2025 (Sh-03)
Keynesian theory of demand for money = Liquidity Preference	SSC Phase XIII, 28/07/2025 (Sh-03)
Financial intermediaries transmit MPC policy (A-R)	SSC CGL Tier-I, 23/09/2025 (Sh-01)
CRR/SLR ↑ reduces lending capacity (A-R)	SSC CGL Tier-I, 23/09/2025 (Sh-03)
Money multiplier factors (leakage, reserves, CRR)	SSC CGL Tier-I, 24/09/2025 (Sh-02)
Post-1991 banking reform = prudential norms/CRAR	SSC Stenographer, 08/08/2025 (Sh-02)
Narasimham-II: merge/consolidate PSBs	SSC Stenographer, 07/08/2025 (Sh-01)
BFS established 1994	SSC Stenographer, 06/08/2025 (Sh-03)
Bank deposits=liability; OMO; Bank Rate statements	SSC Stenographer, 06/08/2025 (Sh-02)
Narasimham-I: foreign banks encouraged to expand	SSC Stenographer, 06/08/2025 (Sh-02)
Bank nationalisation year = 1969	SSC Phase XIII, 29/08/2025 (Sh-01)
Banking Ombudsman first introduced 1995	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
Malhotra Committee report year = 1994	SSC CHSL Tier-I, 28/11/2025 (Sh-02); 24/11/2025 (Sh-02)
BCSBI set up 18 Feb 2006	SSC CHSL Tier-I, 25/11/2025 (Sh-03)
BCSBI Code of Commitment, July 2006	SSC CHSL Tier-I, 22/11/2025 (Sh-03)
BRBNMPL established 3 Feb 1995	SSC CHSL Tier-I, 18/11/2025 (Sh-01)
IPPB QR-card cashless withdrawal	SSC CPO Tier-I, 09/12/2025 (Sh-01)
SLR = mandatory liquid-asset requirement	SSC CPO Tier-I, 11/12/2025 (Sh-01)
Expansionary monetary policy = rate cut	SSC Phase XIII, 28/07/2025 (Sh-02)
Repo rate definition	SSC Stenographer, 08/08/2025 (Sh-03)
RBI Governors chronological order	SSC Stenographer, 06/08/2025 (Sh-03)
Debt monetisation = RBI buys govt bonds directly	SSC Phase XIII, 26/07/2025 (Sh-02)
RBI publishes FSR + DBIE	SSC CHSL Tier-I, 22/11/2025 (Sh-02)
FI-Index parameters: Access, Usage	SSC CHSL Tier-I, 19/11/2025 (Sh-01)

Disinvestment = selling PSU shares	SSC CHSL Tier-I, 17/11/2025 (Sh-03)
Maharatna/Navratna/Miniratna match	SSC Stenographer, 07/08/2025 (Sh-03)
CCIL established 2001	SSC CHSL Tier-I, 18/11/2025 (Sh-01)

A.2 — Conflicts & doubts carried forward

- SCB totals: 137 (BHARAT 2025) vs 136 (RBI pink box)
- SIDBI founding year: 1989 (\$11) vs 1990 (\$9/elsewhere)
- Reverse repo/MSF "always $\pm 1\%$ of repo" claims contradict Lucent's own Dec-2023 rate table
- "12 Nationalised Banks" (pre-2019-20-merger count) not reconciled with current count
- All regulator/chairperson tables, bank lists, and world-ranking tables are time-stamped 2023-2025 and not current as of today (Sept 2026) — verify before relying